Sales Contexts & Customer Management

CHAPTER 05 • Selling and Sales Management — Jobber, Lancaster & Le Meunier-FitzHugh (Pearson, 2019)

A plain-text, lecturer-ready presentation — designed to be explained, not just read. No interior design, no clutter: clear paragraphs students can study.

IN THIS CHAPTER: (1) Environmental & managerial forces that reshape selling • (2) The customer portfolio & sales channels • (3) Industrial, commercial & public authority selling • (4) Retailing and the rise of trade marketing • (5) Selling services & the 7Ps • (6) Sales promotions, exhibitions & public relations

How to use these slides in class: each slide contains full explanatory paragraphs — read the text with students, pause to give a local example, then move on. Print-ready, study-friendly. 35 slides total.

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What You Will Learn in This Chapter

Learning objectives • By the end of this chapter you should be able to...

This chapter places selling in its wider business context. Selling never happens in a vacuum — it is shaped by powerful behavioural, technological and managerial forces, by the structure of distribution channels, and by the very different demands of industrial, retail and service markets. Understanding these contexts allows a sales manager to choose the right structure, the right channel strategy, and the right relationship approach for each type of customer.

After studying this chapter you should be able to: (1) understand the forces that impact selling and sales management; (2) understand the concept of the customer portfolio; (3) appreciate why selling channels are structured in different ways; (4) evaluate push and pull promotional strategies and tactics; (5) understand the unique problems of organisational and service selling; (6) evaluate the role of exhibitions and trade shows; and (7) be aware of the implications of the internet for selling. Keep these seven objectives in mind — each will be addressed in the order of the chapter.

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Key Concepts You Will Meet

The vocabulary of the chapter — worth defining on day one

To follow the chapter you need a shared vocabulary. Channels of distribution describe the route goods take from producer to user, while sales channels and logistics describe how that route is managed and moved physically. The customer portfolio is your total database of past and present accounts, segmented so that strategic, stable and transactional customers are handled differently. Environmental and managerial forces are the behavioural, technological and organisational pressures that change how selling is done.

Supply chain and trade marketing remind us that selling is linked to operations and brand management. Push strategies push product through intermediaries with incentives, while pull strategies use consumer advertising to create demand that pulls product through the channel. Add public relations, sales promotions, exhibitions and trade shows, services, and strategic customer management, and you have the full conceptual map for Chapters 5 to 12. Define each term with a local example before you continue.

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5.1 Environmental & Managerial Forces — An Overview

Three families of forces are reshaping the sales organisation • Table 5.1

The textbook groups the forces affecting selling into three families. Behavioural forces come from customers and markets: rising expectations, greater ethical scrutiny, the growing power of a few large buyers, globalisation, market fragmentation, and a shift in how buyers negotiate. Technological forces come from tools: sales force automation (laptops, tablets, mobile, sales apps, EDI, video conferencing, extranets), virtual sales offices, and electronic sales channels (the internet, TV home shopping, and databases built from credit-card transactions).

Managerial forces are how firms respond: wider use of direct marketing (direct mail, telemarketing), a deliberate blending of sales and marketing supported by intranets, and a demand for better qualified salespeople and managers. Together they move the sales function away from simple order-taking and order-making towards strategic customer management — intelligence, interface management, and integration — a theme we return to in detail at the end of this section.

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Behavioural Forces (1) — Rising Expectations & Ethical Scrutiny

When customers have tasted better, they never go back

Magrath and J.D. Power make the same point: once customers experience higher product quality and better service — whether at home or abroad, or from a new foreign entrant that sets a new standard — they expect even more next time. You raise the bar and extend the finish line; you never stop. For the salesperson this means continuous improvement is not a slogan but a survival condition. The internet sharpens this pressure: customers arrive already informed about your firm and competitors, and they expect personalised, complex, well-serviced solutions with fast email and ‘contact us’ response times, often 24/7.

The second behavioural pressure is ethics. Corporate scandals have made customers demand transparency. Where sales teams were once trained in high-pressure negotiation, buyers now experience purchase as an ordeal to tolerate. The response in some markets has been fixed-price, no-pressure, trade-in-optional selling. For sales management the implication is direct: train for ethical selling, watch the arguments you use and the inducements you offer, and treat transparency as a commercial asset.

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Behavioural Forces (2) — The Expanding Power of Major Buyers

Fewer, bigger customers are dictating terms

In many sectors markets have concentrated: a handful of large organisations now dominate. Retail provides the clearest example — Walmart, Carrefour, Tesco — but the same pattern appears in industrial buying. These buyers use their enormous purchasing power to demand special status: key account management, just-in-time inventory, category management, and joint funding of promotions. Suppliers compete not only against rivals but against buyer power itself.

There are two strategic responses. Some firms grow to match buyer scale; others specialise and build deep, innovative relationships so that customers must come to them for a unique offer. Both require highly knowledgeable salespeople who understand not only their own offer but the structure of the market. Success now depends on coordinating selling and technical resources to meet major-customer demands, and on turning buyer power into an opportunity to build operational links, create value, and deepen the relationship rather than simply conceding margin.

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Behavioural Forces (3) — Globalisation of Markets

From national sales force to transnational account team

As domestic markets saturate, firms expand abroad for growth. Coca-Cola, Unilever and Avon now earn the majority of revenues outside their home market. That creates a new selling problem: how to balance expatriate and host-country salespeople, adapt to different cultures, languages and lifestyles, compete against world-class brands, and build coherent global relationships. 3M, for example, manages global strategic accounts across electronics, automotive, aerospace, health care and consumer products — the buyer–seller network is staggering.

Selling to a Samsung, Siemens or P&G; means serving the same customer in more than twenty countries with different terms, technical support, pricing and customisation. Strategic account managers need enhanced teamwork and coordination to deliver consistent service. Cultural nuance matters deeply — Guanxi networks in China, the formal confirmatory meeting in Japan versus the structured consultative meeting in the UK or the exploratory meeting in Spain — and what is ethical in one country may be unethical in another. Chapter 6 develops international selling in full, but this is the context that makes it unavoidable.

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Behavioural Forces (4) — Fragmentation & Buyer–Seller Negotiation

Smaller segments, more diverse needs, tougher negotiation

Driven by differences in income, lifestyle, personality, experience and culture, mass markets are fragmenting into coherent clusters with specific functional and psychological needs. Brands proliferate to serve these niches, target markets get smaller, and marketing and sales managers must become adept at spotting taste shifts in an increasingly multicultural society.

At the same time the nature of negotiation is changing. Customers who have been subjected to high-pressure tactics increasingly avoid negotiation altogether, preferring fixed prices and transparent terms. For salespeople this means the traditional arts of closing must give way to consultative problem-solving. The lesson across all four behavioural forces is consistent: buyer knowledge is up, buyer tolerance for pressure is down, and the salesperson who adds value does so through expertise, ethics and an understanding of the customer’s wider business, not through persistence alone.

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Technological Forces (1) — Sales Force Automation, Virtual Offices & E-Commerce

Technology does not just save time — it changes what selling is

Three currents run through this section and are developed in Chapter 12. Sales force automation includes tablets, laptops, mobiles, email, sales apps for journey and account planning, EDI linking manufacturer and reseller computers to exchange orders, invoices and delivery dates automatically, video conferencing for global meetings and training, and CRM databases that give every customer-facing person the same information, testimonials and video at the click of a button. The virtual office builds on this: salespeople work from home, a customer site or even a parked car, staying connected to head office and customers without returning to base — saving cost and time but raising expectations for responsiveness.

The fastest-growing electronic channel is the internet. Its effect is not simply to shrink field forces but to refocus them: Dell's website handles transactional, one-off selling better, faster and more cheaply, freeing expensive field time for developing and closing major new accounts. E-commerce adds a dynamic, global electronic shop where products can be advertised, sold, paid for and updated instantly with secure card validation at lower cost than a high-street store. For B2B, Salo and Wendelin describe a digital bond that makes processes more interactive over time — managers should engage in digital bonding behaviour with key suppliers and customers and reform supply-chain management accordingly.

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Technological Forces (2) — Social Media, Informed Buyers & Omnichannel

When the customer knows almost as much as you do

Blank and Groselj (2014) show internet use is not one behaviour but many, each with distinctive users. Marshall et al. (2012) show social media has become a dominant selling tool, driven by six themes: connectivity, relationships, selling tools, generational change, globalisation and internal communication. Word-of-mouth now travels through reviews, likes and tweets that salespeople can influence directly, linking reviewers to helpful sites and engaging customers around common interests beyond the product.

The consequence is an informed customer who has researched the purchase, studied competitors and checked comparison sites before speaking to sales — the salesperson shifts from active persuader to reassurance and facilitator. Purchase itself is omnichannel: website, online retailer such as Amazon, physical outlet, buying group, wholesaler, mail order or inbound call centre, depending on product and circumstance, with the traditional outlet sometimes bypassed entirely. Television home shopping via presenters selling by phone and internet is the established reminder that the presenter is the salesperson. Managing this complexity is now core to sales management.

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Managerial Forces & the Sales–Marketing Interface

Responding to change with new tactics and better cooperation

Managers have three broad responses. First, broaden the toolkit: greater use of direct marketing through the internet, direct mail (postal and electronic) and telemarketing — developed in Chapter 11 — and greater use of social selling alongside formal marketing. Second, fix the historically difficult sales–marketing interface. In practice blending the two functions is hampered by poor communication; intranets that link employees, suppliers and customers help by sharing emails, group sites, team projects, product specs, competitor news and price updates instantly, giving the field force fast access to changing information and letting customer insight flow back to marketing.

Third, invest in people: encourage technology training and support professional qualifications for salespeople and managers. Done together — blended tools, an intranet-enabled interface, and better-qualified people — the firm can handle informed customers and multiple purchase routes without fragmenting its message. The salesperson is no longer a lone persuader but a connector across functions and channels.

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From Order-Taking to Strategic Customer Management

Intelligence • Managing Interfaces • Integration

The combined effect of these forces is to move the sales organisation from order-taking and order-making to strategic customer management — the customer at the centre, sales integrated into marketing strategy. Cisco uses personal selling only where the purchase is important, complicated and uncertain (typically the first sale or a new application), leaving repeat purchases to the internet. Strategic customer management then rests on three activities.

Intelligence means enhancing customer knowledge to add value ahead of the customer — Johnson Controls won Ford's F-series seats not by talking seats but by understanding truck drivers better than Ford did. Managing customer interfaces means refocusing on the touchpoints that affect value — CRM, key account management, and seamless work across field, call-centre and online channels, as Western & Southern Financial Group did with 2,200 reps. Integration means welding all company activities that affect value into a single sustained delivery point, across functions and borders; the textbook's tale of a customer nearly lost because distribution prioritised large orders over the new continuous-replenishment system shows what happens when integration fails.

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The Customer Portfolio

Not all customers deserve the same selling method

The customer portfolio is the database of all customers, past and present, with whom you trade. Its purpose is categorisation so that each group is managed through the right channel with the right resources. At the top are key — or strategic — accounts vital to survival; they receive the greatest attention and personal handling, often via key account managers. Next are medium-sized, stable accounts that buy consistently with few adjustments; they are typically serviced through telesales and the website, where efficiency matters more than heavy customisation.

Finally there are tactical or transactional customers who buy from whoever best meets the need at that moment; unless a customised approach is warranted they are managed through alternative, lower-cost channels. Chapter 12 returns to this architecture. The principle is already clear: personal selling is expensive and should be reserved for where it creates distinctive value; elsewhere, matched channels deliver service more economically while keeping the relationship warm.

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5.2 Sales Channels — Logistics & the Supply Chain

From order processing to packaging — the logistics mix

Modern distribution rests on two linked activities: logistics and channels of distribution. Historically producers sold locally and customers collected goods. Today specialisation, cosmopolitan consumers, better transport and communications, and automation have made channel decisions complex and distribution costs relatively higher compared with (now lower) production costs. Logistics is the effective planning, implementation and control of the physical flow of materials from unprocessed state to finished goods, from point of origin to end-consumer — mapped backwards from customer to source, sometimes called supply-chain integration (Chapter 10).

The logistics mix comprises six elements: (1) order processing — simple, fast administration; (2) materials handling — shaped by weight, bulk-to-value and perishability; (3) warehousing — depot location balanced between service and cost (e.g., spare parts during harvest); (4) inventory control — now measured in hours under just-in-time / lean thinking; (5) transportation — physical delivery inward and outward, where small frequent loads are most costly; and (6) packaging — outer containers and shipping protection, distinct from shelf packaging which is a communications decision. Two philosophies compete: logistics as a system of interrelated components versus logistics as total-cost minimisation.

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Channels of Distribution & Supply Foundations

What is a sales channel — and where do relationships start?

A sales channel is the route goods take through the selling process, from supplier to customer. It can be direct — especially for components incorporated into manufacturing — or indirect via wholesalers, agents and distributors who break bulk for smaller customers. Follow a product from raw material to finished good and you will see many different channels at different stages; a hard-disk drive has an OEM channel to computer manufacturers, a retail replacement channel, and a direct-to-consumer route.

Channel management is therefore a core sales-management skill: for most manufacturers success depends on how efficiently channel members — agents, wholesalers, distributors, retailers — sell the product. The foundation is a good supply-chain map: chart the flow of goods from suppliers through the firm to customers and the parallel flow of information — orders, schedules, shipping notes, invoices — then build a strategy for the whole enterprise. The Chartered Institute of Purchasing and Supply found 48% of chief executives could not recall annual spend on goods and services despite it exceeding wages — a reminder that procurement, the chain's start, is often neglected and where early gains lie.

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Appraising Sales Channels (1) — Market, Cost & Product

Seven lenses the textbook uses to test a channel choice

When selecting or reappraising a channel the textbook applies seven tests. First, the market: ensure maximum potential customers can buy, without alienating existing customers, and respect channel compatibility — consumers are conservative and a move outside the accepted norm (such as a canned-food producer suddenly selling by mail order) needs a sound reason and image fit. Second, channel costs: short (direct) channels are generally costliest — greater sales-force, transport and warehousing investment — but they avoid intermediary margins and keep you closer to the end-user. Recent years have seen manufacturers shorten channels where advertising can pre-sell the product.

Third, the product: low-cost, low-technology items suit longer channels; complex items needing after-sales service suit short, direct channels, which is why most industrial products are sold direct. Width of line matters — a wide portfolio justifies direct selling because the salesperson has more to interest the customer; a narrow line suits longer channels where intermediaries can bundle complementary products, as when bathroom-fittings manufacturers sell through builders' merchants who sell alongside other materials.

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Appraising Sales Channels (2) — Profit, Structure, Life Cycle & Finance

The remaining four lenses — and why timing matters

Fourth, profit potential: beyond a point the cost of chasing more sales exceeds revenue — an exclusive perfume pushed through supermarkets and peak-time TV would sell more but unprofitably, so balance channel expense, profit and gross margin (short channels bring high gross margin and high expense; long channels lower both). Fifth, channel structure: strong existing members (by size) make it hard to go outside the established channel; entry then requires a differentiated or lower-priced offer and heavy investment — a new detergent facing FMCG pull strategies needs large consumer advertising or focused push incentives and a strong field force.

Sixth, product life cycle: a new concept may need intensive distribution to launch, moving later to selective distribution where only capable dealers may sell — though diffusion theory suggests sales start low, needing only a few distributors. Televisions show the full circle: intensive to selective when service mattered, back to intensive when sets standardised and exposure at point of sale became decisive. Seventh, non-marketing factors, especially finance: a firm may be forced to use middlemen for lack of funds for a dedicated force, and small exporters who granted casual agency agreements later found them expensive to unwind when exporting became essential (Chapter 6).

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Characteristics & Management of Sales Channels

Four channel types and four strategic design choices

Channels are among the most stable elements of the marketing mix — costly and complex to change. Switching from selective to intensive distribution directly affects headcount and selling methods, unlike a price change. The textbook identifies four options: Direct — no middleman, manufacturer sells straight to customer; Selective — a limited number chosen for special abilities; Intensive — maximum exposure through as many outlets as possible where service matters little (cigarettes, cereals, detergents); and Exclusive — a restricted network meeting manufacturer standards for stockholding and after-sales service, as in the car industry.

Channel decisions are strategic because they lock the firm into long-term commitments that are hard to unwind and they affect every marketing and operating choice. Company objectives and resources set the boundary — a growth-seeking grocery leader must consider the multiples, while a smaller firm may be forced into indirect channels with little power. Four design tasks follow: delineate basic structure (length, types, functions of intermediaries); set required market exposure (number and geography); establish cooperation and minimise conflict (territorial rights, franchising); and choose marketing and channel support strategies (where push and pull will be focused).

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5.3 Industrial / Commercial / Public Authority Selling

How B2B and public-sector selling differ from consumer selling

Industrial, commercial and public-authority markets are grouped because buying conforms to organisational behaviour (Chapter 4) and the sales approach is similar. There are fewer customers, each making high-value purchases for use in operations or for incorporation into other goods. Markets are concentrated — the UK aero-engine industry around Derby is a classic example — so a salesperson may serve only a few customers in a tight geography.

Purchasing decisions are complex and involve many people, especially in public authorities with purchasing committees; the decision-making unit includes specifiers concerned with technical merit, production staff seeking guaranteed delivery, and buyers seeking value for money, which prolongs negotiation and requires tailored approaches. For technically complicated products the salesperson is replaced by a team mirroring the buying team — sales engineer to buying engineer. B2B selling is less about a single persuasive conversation and more about sustained, multi-contact influence.

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Relationships, Reciprocal Trading & Types of Production

Why production method should change your sales approach

In B2B settings relationships are long-term and interdependent — one side for reliable supply, the other for regular custom. High-pressure techniques are counter-productive; instead salespeople identify individual needs, sell benefits, handle complaints well and provide reliable after-sales service. Relationship selling (Chapter 10), key account management and solution development (Chapter 9) describe this shift: the salesperson acts as relationship manager. Reciprocal trading — company A buys from B and vice versa, often formalised at senior level or within a group (intergroup trading) — can frustrate salespeople and buyers by limiting competition, though it also opens scope for wider value co-creation.

The customer's type of production matters. Job (unit/project) builds to order and demand is hard to forecast (ships, suits, bridges). Batch makes groups to order or in anticipation (books, furniture, aircraft). Flow / mass / line runs continuously in anticipation of sales (cars, TVs, washing machines). Process / continuous feeds raw material in and finished product out (chemicals, brewing, plastics). With flow you must anticipate model changes to be invited to quote and expect a long wait before the next chance; lean / just-in-time delivery and 'zero defects' dominate. Batch allows renegotiation each run; job means negotiating each project with a short wait for the next opportunity.

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5.4 Retailing — Seven Types of Outlet & Trade Marketing

From multiples and co-ops to mail order and direct selling

Retailing includes selling to retailers themselves, most of whom are multiples — Tesco, Morrisons, Sainsbury's, Asda — that perform their own wholesaling, while independents buy from wholesalers or cash-and-carry operators such as Makro and some belong to voluntary chains such as SPAR. Much buying is centralised and, unlike industrial selling, the buyer often visits the seller. The textbook categorises seven outlet types: Multiples (ten+ branches, now dominant in FMCG); Co-operative societies (member-owned since Rochdale 1844 — open membership, democratic control, limited interest, surplus by purchases, education, cooperation — now challenged by online competition); Department stores (five+ departments, 25+ employees, e.g., Debenhams, House of Fraser); and Independents (own outlets, sometimes in buying associations or as symbol shops like SPAR, including franchised restaurant chains).

Mail order has expanded through warehouses and commodity specialists via catalogues, specialist press and websites, with some department stores adding mail order. Direct selling uses appointed commission agents among family and friends and the party-plan model (Tupperware, Avon) with home demonstrations and commission. The growing power of retailers produced a new answer: trade marketing teams. Where key account and brand management fail to understand what retailers need — which products, sizes, packaging, prices and promotions — trade marketers bridge the gap, feeding requirements to brand management and the field force, including tailored — and often costly — promotions (e.g., a supermarket chain demanding a drinks supplier fund hotel-break prizes in its own hotels).

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The Transformation of Retailing

From personal service to self-selection, superstores and loyalty

Since the late 1960s retailing has undergone structural change. The growth in establishment size — supermarket to superstore to hypermarket to megastore — pushed retailing to out-of-town sites with easy parking. Shoppers accepted self-service and self-selection, dispensing with personal service in return for lower overheads and more competitive prices. Rising living standards turned former luxuries — cars, foreign holidays, televisions, mobile phones — into mass-market goods, and where supply exceeds demand, firms turned to advertising and other promotion to build brand loyalty.

FMCG producers pre-sold brands to consumers through pull strategies, while retailers built store loyalty through loyalty-card schemes. The result is a dynamic environment that directly reshapes how salespeople operate: fewer, larger, more professional retail buyers, centralised decisions, and constant negotiation over price, promotion and display in which trade marketing and key account skills are essential. Retail selling is not ‘consumer selling on a smaller scale’ but negotiation with a powerful intermediary whose own brand is also at stake.

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5.5 Selling Services — Nature, Growth & Special Characteristics

Selling something intangible that cannot be stored or owned

A service is intangible, though evidenced by contracts, licences, buildings or equipment, and its benefit is transitory — achieved through activities and interaction (transport as movement rather than a seat on a train) rather than a storable object. Examples range from transport, power, hotels, restaurants and communications to banking, grooming, clubs, repair, travel, accounting, consultancy, architecture, cleaning, libraries, public authority services and computing — in consumer and industrial markets. Britain's economy is now primarily a service economy, driven by the decline of heavy industry, more equitable working patterns, rising disposable income, and Britain's strength in internationally tradable services such as internet banking, insurance, finance and credit cards (with building societies broadening into banking).

Table 5.2 captures how services differ from products: higher intangibility, inseparability (production and consumption together), variability / non-standardisation, perishability (an unsold hotel room cannot be stocked), and lack of ownership — the customer pays for access, not possession, such as gym use. These characteristics make services harder to assess and standardise, which is why the extended marketing mix matters.

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The Seven Ps of Service Marketing & The Challenge of Selling Services

People, process and physical evidence — why trust is the product

Because of those characteristics, the four Ps are extended to seven. People are critical — front-line staff must be well trained and friendly. Process concerns how the service is delivered at point of contact — loading, serving and unloading airline passengers, for example — where consistency must be planned and managed. Physical evidence matters because intangibility must be made tangible through environment, equipment and facilities that signal quality. Selling services is therefore often harder and more abstract than selling products.

Characteristically, those who provide the service also sell it, so providers need stronger sales and negotiation skills and close attention to image — banks and insurers must appear stable and reliable yet friendly and non-intimidating, an image built at considerable cost. Unlike a product, the service outcome cannot be known in advance, so trust is the central asset. Several authors have proposed further Ps beyond these seven (see Chapter 1), but these three are the foundation to establish first. The Argos case on the next slide shows them in practice.

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Extended Marketing Mix in Practice — The Argos Case

People, process and physical evidence on the high street

Argos illustrates the extended mix at work. On people, the firm emphasises training and good customer service — friendly, knowledgeable, eager staff as a competitive advantage. On process, Argos introduced Text and Take Home, letting customers text to check local availability and reserve for collection (timely when over sixty million texts were sent daily in the UK), alongside Quick Pay, which lets in-store customers check, order and pay by card themselves to avoid queues. Together with its website and phone service, these innovations make buying more convenient and acknowledge that customers can buy direct, any time, via the internet.

On physical evidence, Argos invests heavily in store look, layout and continuous improvement to attract customers; awards have followed. The lesson for salespeople is general: when the product is partly a service, the buying process and the evidence around it are not background detail but part of the offer. Ask students to map Argos's process steps from inquiry to take-home and identify where waiting, uncertainty or effort could still be removed.

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5.6 Sales Promotions — Objectives & Three Main Areas

Pull, push and motivation — promotions that support the sale

Sales promotions are techniques organisations use as part of marketing that salespeople must know and align with rather than cut across. Objectives include encouraging repeat purchase, building long-term loyalty, driving store visits, building retail stock levels, and widening distribution. As competition intensified, promotions grew more sophisticated; some advertising agencies expanded into full promotion packages, blurring the line between advertising and promotion and moving from ad-hoc commission relationships to longer-term partnerships (De Pelsmacker et al.).

The textbook divides promotion into three areas. Consumer promotions are pull techniques — they stimulate final demand so consumers pull product through the channel. Trade promotions are push techniques — incentives that push product towards the customer via extra rewards to intermediaries. Personnel motivation covers promotions aimed at the sales force itself (and sometimes distributors/retailers) through incentive schemes and competitions. The remainder of this section examines each in turn.

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Consumer Promotions — Price Promotions & Premium Offers

From pence-off to BOGOF, self-liquidating premiums and continuities

The most common consumer promotion is price promotion. Variants include pence-off labelling (manufacturer or retailer originated, constrained in UK law requiring the previous price to have applied for a substantial period), extra quantity for the same price — ‘buy one get one free’ (BOGOF) or ‘ten per cent bigger’ — price-off coupons in/on pack redeemable against future purchases, and introductory discount prices for new products. In difficult times price offers resonate more than free gifts, and FMCG grocery provides the heaviest use.

Premium offers add short-term extra value. Self-liquidating premiums invite customers to collect labels or till receipts to buy merchandise where the price covers the promoter’s cost. On-pack gifts attach a premium to the product (toothbrush to toothpaste, DVD to magazine). Continuities build sets over several purchases (picture cards, chinaware) with the premium inside or sent off for. Coupon plans collected over time and exchanged via catalogue have largely been replaced by loyalty cards (Tesco Clubcard, Nectar, Costa) that accumulate redeemable points. Free samples via packs, magazines or door-to-door complete the set. Success lies in choosing a distinctive, broadly appealing premium available in sufficient quantity, where incremental response covers premium and handling costs.

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Joint Promotions, Trade Promotions & Business Gifts

When promotions cross company boundaries — and their limits

Joint promotions between companies are growing, typically linked by customer profile rather than product type — the gin-and-tonic partnership of Gordon's and Schweppes is the classic example. Arrangements include retailer–producer (branded pack carrying a voucher for a retailer), producer–producer (each carries the other's), and service–producer (travel company with cereal, dry cleaner with clothing).

Trade promotions push product through intermediaries with discounts, improved margins, dealer competitions, exhibitions, demonstrators and conference-linked holidays. Objectives are wide distribution for new brands, clearing excess stock, achieving display, encouraging larger stockholding, motivating distributor salespeople to recommend the brand, and supporting overall strategy. Risks follow: over-frequent use distorts focus, signals overpricing, conflicts with managers who ban incentives to retain control, or pushes an inferior line; long-term sales are better served by product improvement. The British Code of Sales Promotion Practice requires employer permission where loyalty might be compromised. Business gifts, while not strictly promotion, raise similar issues: seasonal demand peaking in the final two months of the year, logo gifts as advertising creating moral obligation, but since 1981 the Chartered Institute of Purchasing and Supply has urged restriction to nominal items (calendars, diaries, pens) and maintains a blacklist — and employer restrictions have since reduced the practice.

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Personnel Motivation — Sales Force Incentive Schemes

Competitions, quotas, points and recognition

The most widely used sales-force promotion is the incentive scheme — rewards over and above normal compensation, often as competitions between individuals or groups against specific objectives. A design tension is that average performers may disengage if only top performers can win, so competitions are frequently run for groups or areas.

Effective design considers objectives, timing, scoring and rewards. Typical objectives are introducing a new line, moving slow sellers, widening territory coverage, developing new prospects, smoothing seasonal slumps, securing display, and building new skills. Timing averages two to six months. Scoring is by value or unit sales, often against quotas by region or individual to equalise differences, with points, stamps or vouchers awarded at percentage-of-quota thresholds and exchangeable for merchandise, cash or store vouchers (sometimes via a family catalogue). Short-term bonus points sustain momentum for specific pushes, and recognition awards such as trophies or ‘salesperson of the year’ provide non-financial motivation.

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5.7 Exhibitions & Trade Shows — Role & What Good Looks Like

A public-relations tool that is increasingly a sales accelerator

Exhibitions are tangentially related to sales: the objective is rarely to sell from the stand (though for decorative-ware importers to the trade it often is), but to build awareness and goodwill and prepare future sales. Once seen as pure PR, they are now recognised as part of integrated marketing and sales; Smith et al. show attendance can enhance personal selling and accelerate the buyer's journey, while event management and corporate hospitality — from opera boxes to sponsored conferences — provide related contact forums.

What distinguishes a good exhibition? A wide range of products and competitors, good advance information (pre-exhibition mailings matter), many new products, nearness to buyers' homes, good hall facilities, and a simple, neat, uncluttered stand. What distinguishes a good exhibitor? A focused range (especially large items a rep cannot carry), a consistently staffed stand of informed, approachable people not chatting among themselves, informative literature, refreshments and seating used only with customers, no public mobile use, active filtering of prospects, appointment-making, and disciplined lead follow-up and debriefing. Figure 5.1 in the book shows exhibitions as one medium among writing, photographs, voice and personal selling — and that all other inputs, from field force to advertising, must be coordinated to present a coherent value proposition.

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Planning & Managing Exhibition Success

Objectives, the stand, and the people on it

Without clear objectives there is no basis for planning or measurement. The textbook suggests defining five things in advance: the market to communicate with (by region or product); the value of purchases targeted (small or large users); the status of contacts sought (purchasing managers versus managing directors, noting senior contacts rarely attend small shows without top-management contact and hospitality); the attitudinal target (existing customers versus new-product prospects, avoiding time spent only with the converted); and the communication level sought — to sell from the stand, to secure permission to quote, to obtain permission to telephone for a follow-up, or simply to send further information.

The stand should be planned early with checklists for design, services, and a progress chart covering manufacture, transport, assembly and dismantling of exhibits. Most decisively, stand personnel — from sales, marketing or technical backgrounds — must convey the USP with commercial and technical credibility and be briefed on four things: objectives and procedures; stand features, colleagues present, location and manager; how to approach, interview and deflect irrelevant visitors; and personal presentation standards on duty. With such pre-planning, an exhibition becomes a powerful sales tool rather than the expensive luxury it was once considered.

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5.8 Public Relations — Nature, Role & Effective Management

Why selling and PR increasingly do each other's work

Public relations is broader than selling or marketing: it addresses the entire organisation and its many publics — community, employees, government, financial community, distributors, consumers and opinion leaders — through two-way communication that seeks common ground and resolves conflict, with word of mouth as its most credible medium. PR establishes mutual understanding, trust, respect and social responsibility, managing corporate reputation as a continuous, planned function that supports and sometimes corrects advertising, marketing and sales, rather than merely 'covering up' problems. This work must sit within an agreed corporate personality reflecting top-management style, managed consistently as a tangible asset with PR having access to all issues that affect perception.

PR is often misunderstood: it is not free advertising (time-consuming, expert, more credible, aimed at many audiences), not propaganda (which may distort facts to indoctrinate, while PR seeks willing acceptance), and not publicity (the often uncontrollable result of information becoming known, while PR shapes behaviour so publicity is consistently good). Corporate PR builds long-term image through prestige advertising (Virgin), house style (the Woolmark), and sponsorship — an investment for exploitable commercial potential (Meenaghan) in sport, concerts and community projects. Effective PR needs specific evaluable objectives, full integration serving line functions while reflecting the overall message, the right personnel, and direct board access so programmes are sanctioned with top-management backing — a condition that matters to salespeople who increasingly carry PR messages into the field.

5.9 Conclusions — Bringing the Contexts Together

Different settings, different approaches — one consistent lesson

This has been a deliberately lengthy chapter because sales settings cannot be understood without their contexts. Environmental and managerial forces reshape how selling is done, while specific settings — sales channels and logistics, industrial/commercial/public-authority selling, retailing and services — each demand a distinct approach. Sales promotions, in consumer, trade and personnel forms, support selling across all settings, exhibitions accelerate the buying process when professionally managed, and public relations provides the reputational foundation upon which the sales force increasingly operates.

The unifying message is that there is no single ‘sales method.’ Where buyers are few, concentrated and technically informed, relationship and team selling dominate; where buyers are mass-market consumers reached through intermediaries, pull, push and trade marketing must be orchestrated; where the offer is a service, people, process and physical evidence become part of the sale itself. Chapter 6 extends this logic to international selling, where the diversity and impact of cross-border contexts — foreshadowed here in globalisation and culture — receive full treatment.

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Practical Exercise & Examination Questions

Yee Wo Plastic Piping Components Ltd • ASEAN case • Use in tutorial or assessment

Practical exercise — Yee Wo Plastic Piping Components Ltd, an ASEAN manufacturer of plastic pumps, valves, fittings, pipes and gauges for civil and chemical engineering, holds about 40% of the regional market alongside Shun Tak, with three smaller rivals. Distribution is wholly through stockists; reps have a dual task — persuade stockists to carry the full range and persuade end-users to specify Yee Wo when ordering. Smaller distributors now cherry-pick only the fastest-moving, marginally cheaper lines from smaller suppliers, leaving reps to supply slow lines at short notice and eroding commission; two reps have resigned. Johnny Tan's options are: restrict to licensed distributors, focus reps on productive sectors such as large chemical plants, or sell direct and cut out distributors. Discuss: how can the channel be revitalised, and what are the implications of each option for cost, control, customer access and supplier power?

Examination questions: (1) Why is segmentation and targeting important in channel decisions? (2) How can sales promotion help the sales effort? (3) Explain push and pull and how each helps sales planning. (4) How can internet-based promotion assist the sales process? (5) How is technology used to promote products and influence selling? (6) What are the key logistics concepts and what do they mean for designing the total distribution system? Structure a 60-minute tutorial: 25 minutes on the Yee Wo case in groups, 35 minutes answering two questions under timed conditions.

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